

5. 9:00 AM CASE NUMBER: C24-00394
CASE NAME: THERESA DEAN VS. RIVER RANCH MOBILE HOME PARK LLC,
*HEARING ON MOTION IN RE: TRANSFER MATTER TO COMPLEX LITIGATION DEPARTMENT
FILED BY: DEAN, THERESA
TENTATIVE RULING:

The unopposed motion to designate this matter as Complex Litigation is granted.

The Court designates this case as complex pursuant to Rule 3.400 et seq. of the California Rules of Court. It shall remain assigned to Department 32 for all purposes. Any outstanding fees for Complex Litigation shall be paid to the Contra Costa Superior Court within ten days of service of notice of entry of this order.

6. 9:00 AM CASE NUMBER: C24-01029
CASE NAME: JOHN DOE VS. ANTIOCH UNIFIED SCHOOL DISTRICT
*HEARING ON MINOR'S COMPROMISE
FILED BY: DOE, JOHN
TENTATIVE RULING:

The Petition for Approval of Minor's Compromise is granted subject to Plaintiff's counsel submitting a copy of the attorney fee agreement and that agreement being consistent with fees stated in the Petition.

Plaintiff's counsel is ordered to appear and produce a copy of the fee agreement for the court's inspection at the hearing.

In addition, the Proposed Order submitted /lodged with the Court is missing information in Paragraphs 8 (a) and 8(b). If the Petition is approved after inspection of the attorney fee agreement, Plaintiff's counsel must submit another Proposed Order with all necessary information.

7. 9:00 AM CASE NUMBER: C24-03078
CASE NAME: THALBIR OLI VS. GOVIND SHAHI
HEARING ON DEMURRER TO: 1ST AMENDED CROSS-COMPLAINT
FILED BY: OLI, THALBIR

TENTATIVE RULING:

Introduction

Before the Court is Cross-Defendants THALBIR OLI, and SABRINA HAN's Demurrer to all causes of action in Cross-Complainants First Amended Cross Complaint filed on January 5, 2026. Cross-Complainant SUSHOVAN SHAHI's Cross Complaint contains four causes of action: 1) Breach of Oral Agreement; 2) Breach of Written Agreement; Fraudulent Inducement; and 4) Intentional Interference with Contractual Relations.

For the following reasons, **Cross-Defendants' Demurrer to the FACC is overruled in its entirety.**

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Plaintiff's counsel in the Declaration of Narayan P. Bhandari. On January 28, through February 4, 2026, the parties exchanged meet and confer emails and were unable to connect by telephone. (Bhandari Decl. at ¶¶18-28.)

Statement of Facts

The facts as alleged in the First Amended Cross Complaint "FACC" are as follows.

OM NAMAHA LLC is a California limited liability company which was created on April 3, 2023, with its principal address located at 3596 Ponderosa Trail, Pinole, CA 94564. The business at the center of this dispute, Jug Shop Liquors (hereinafter referred to as the "Jug Shop"), is wholly owned by OM NAMAHA LLC (hereinafter referred to as "OM"). (FACC ¶ 5.) At all relevant times pertinent to this litigation, the owners of OM were SUSHOVAN SHAHI (hereinafter referred to as "Sushovan") and SABRINA HAN (hereinafter referred to as "Sabrina"). The principal asset owned by Om Namaha LLC is the Jug Shop, a liquor store formally located at 1630 Contra Costa Blvd Ste E in Pleasant Hill, CA 94523. For all intents and purposes, OM is a holding company with the sole purpose to retain and manage the Jug Shop. (FACC ¶ 6.)

OM's Operating Agreement (hereinafter referred to as "Operating Agreement") was drafted and finally executed on or around July 21, 2023. The Operating Agreement memorialized Sabrina's and Sushovan's percentage of ownership in OM: Sabrina owned 49% and Sushovan owned 51%. (FACC ¶ 7.) As set forth in the Operating Agreement, Sabrina and Sushovan agreed to and represented to each other that each of them would provide their initial contribution of working capital necessary to open Jug Shop Liquors for business. The capital contribution mirrored each other's ownership percentage of OM; therefore, 51% of the initial contribution was to be from Sushovan, while 49% of the total initial capitalization was to come from Sabrina. (FACC ¶ 8.)

On or around August 14, 2023, the escrow process for OM to purchase the Jug Shop was completed. The overall purchase price for the Jug Shop was \$346,051.18. Pursuant to the Operating Agreement, Sabrina was obligated to contribute \$169,565.08, (representing her 49% of the total purchase price of \$346,051.18). However, Sabrina only contributed \$153,000.00 toward the purchase of the Jug Shop—falling \$16,565.08 short of her obligated financial contribution. (FACC ¶ 9.) Sushovan contributed his agreed upon amount of 51% of the purchase price. (FACC ¶ 10.) Sushovan covered Sabrina's shortfall. Sabrina expressly and impliedly represented to Sushovan that she would fully repay him the \$16,565.08 within a few weeks as she was expecting another tranche of money for the Jug Shop purchase and ramp up. Sushovan agreed and paid, out of his funds, the additional \$16,565.08 to OM to close the transaction. (FACC ¶ 11.) As of the date of the filing of this First Amended Complaint, this balance remains unpaid. Sabrina's ongoing and willful failure to provide the agreed upon capital in exchange for her membership interest is an express breach of the agreement wrought between her and Sushovan. (FACC ¶ 12.)

Sabrina has refused to reimburse Sushovan for her share of the additional initial costs associated with including \$25,531.31 for the business license, alcohol license, health permits, dba certifications/ inventory purchases, escrow, tobacco license, application fees, other necessary supplies, and the initial deposit in the amount of \$11,851.62 to lease the Jug Shop's physical location all of which was covered by Sushovan. (FACC ¶¶ 13-14.) The Jug Shop opened for business on August 14, 2023. (FACC ¶ 15.)

It soon became a regular pattern that Sabrina took little to no interest in providing any support toward the success or daily operation of the Jug Shop. Sabrina unilaterally delegated her boyfriend Thalbir Oli (hereinafter referred to

as “Oli”) to handle her obligations as manager of OM. (FACC ¶ 16.) Sabrina represented that Oli had substantial experience in owning liquor stores and that he had the qualifications, expertise, and willingness to contribute to the operation of the Jug Shop. Sabrina further represented to Sushovan that Oli was going to be present at the Jug Shop at least five days a week then leaving to tend to Oli’s other liquor store in Daly City, California. (FACC ¶ 17.) Despite Sabrina’s representations that her representative Oli would manage the Jug Shop at least five days a week, Oli failed to be present to perform managerial obligations much of the time – which later led to Oli neglecting to be present at the liquor store at all. (FACC ¶ 18.)

Despite awareness of Oli’s neglect of the Jug Shop, Sabrina made no effort to relieve Oli of his position, nor did she step in to make any meaningful contribution to the business. Further necessary capital contributions were made by Sushovan to ensure the business could succeed. For 2023, the additional capital contributions made by Sushovan amounted to \$50,504.62 (not including Sabrina’s initial shortage of \$16,565.08). (FACC ¶ 19.) Sabrina had full knowledge that Sushovan was forced to make these additional capital contributions and Sabrina was fully aware she was benefitting financially from these investments as a member of OM. Instead of providing her obligated contributions, Sabrina instead continued to neglect the company. (FACC ¶ 20.) Upon information and belief, Sabrina never had an intention of devoting time and resources toward the success of OM. Further, upon information and belief Sabrina conspired with Oli and enabled Oli to circumvent the legal requirements surrounding ownership of a liquor store. At this point early in the operation of the Jug Shop, Oli was essentially acting as a de facto liquor store owner and reaping the benefits of such status while side-stepping all legal and procedural protocols that are set in place to protect the public consumer and the company itself. (FACC ¶ 21.)

Defendant Oli was eventually offered a membership interest in OM upon ability to pay a pre-determined capital infusion and upon qualifying for the ABC licensing requirements for an additional member. Upon information and belief, Oli was unable to acquire the necessary loan to provide an initial capital contribution to become a bona fide owner of OM. Upon information and belief, there was speculation of moral turpitude issues that would prevent Oli’s eligibility to qualify for an ABC liquor license which was a necessary component for ownership of the liquor license at the core of the Jug Shop’s operations.

(FACC ¶ 22.) As a result, Sushovan was intentionally misled by Sabrina into entering a business partnership with her when Sabrina never intended to participate in any fashion in the Jug Shop. The Jug Shop was merely a façade for Defendant Oli to illegally control and to retain profits from owning a liquor store through his relationship with Sabrina who acted as a front for his bad faith operation of the Jug Shop. Once Oli was confronted with these concerns, Oli began to cease participation in operating the Jug Shop. Sabrina made no attempt to remedy the situation or the absence in her promised and delegated management of the store. (FACC ¶ 24.)

Due to Oli and Sabrina's indifference toward the wellbeing of the business, Sushovan was forced to solely handle the operations of OM /Jug Shop as well as incur significant personal financial losses to keep the business afloat. (FACC ¶ 25.) Sushovan continued to pay all necessary Jug Shop expenses and costs in full without any contribution from Sabrina. The failure to support her end of the bargain led Sushovan to make an offer to buy Sabrina out of OM entirely. (FACC ¶ 26.)

After negotiations, upon information and belief, Sabrina prepared the LLC Membership Interest Transfer Agreement (hereinafter referred to as the "MITA") which was entered by and between the parties on April 29, 2024, thus relinquishing the membership interest to Sushovan. (FACC ¶ 27.) The MITA did not include an explicit purchase price. Rather, the aggregate purchase price was to be determined once the balance sheet and profit and loss statements were completed by an accountant. Although the parties mutually agreed to the provisions outlined in the MITA, Sabrina breached that written agreement by refusing to provide a reasonable purchase price in line with the market value of her ownership interest. To date, Sabrina still has failed to provide a dollar value for her membership interest that is backed by a proper accounting. (FACC ¶ 28.)

Without any support, Sabrina demanded her membership be purchased at \$180,000 which far exceeded the reasonable cost of such interest in OM given its recent hardships. (FACC ¶ 29.) Upon information and belief, Sabrina had no reasonable basis to demand this amount in exchange for her interest; this offer was arbitrarily inflated to leverage Sushovan's desperation to save the Jug Shop Liquors from going out of business. Sabrina unreasonably refused to participate or to attend any meeting with Sushovan or Sushovan and the Jug Shop's landlord to try and salvage the business by at least keeping the valuable liquor license inextricably tied to the address of the shop where it had been operated.

(FACC ¶ 31.)

Despite additional material steps taken by Sushovan toward buying out Sabrina pursuant to the MITA agreement, Sabrina deliberately breached the MITA by failing to take any steps toward obtaining a timely and legitimate appraisal/purchase price for her membership interest prior to the MITA's closing date of July 15, 2024, as she had previously promised. (FACC ¶ 34.) That failure by Sabrina meant that the repurchase of Sabrina's percentage of the ownership of OM could not be finalized. Informal negotiations without the benefit of the appraisal failed. (FACC ¶ 35.) When Sushovan did not pay the \$180,000 to Sabrina and the robberies and damage to the store occurred, the Jug Shop went out of business despite Sushovan's best attempts to keep it afloat. (FACC ¶ 37.)

Sabrina's and Oli's actions have displayed a malicious and willful intent to intentionally sabotage the business, these actions were oppressive to Sushovan personally, and the malicious actions included numerous fraudulent representations that Sabrina would undertake the required tasks to operate OM /Jug Shop as a managing member of the operations. (FACC ¶ 38.) Sabrina had promised to repay Sushovan the shortfall in the initial Jug Shop purchase capital, and to repay Sushovan her share of the start-up costs that Sushovan had paid. (FACC ¶ 39.) Defendant Oli's actions in concert with Sabrina to facilitate her breaches of contract and willful fiduciary misconduct toward Sushovan were also impermissibly malicious, willful, oppressive and/or fraudulent. (FACC ¶ 40.)

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or

conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Uncertainty is a well-established ground of demurrer. (*Martin v. Bank of San Jose* (Cal. App. 1929) 98 Cal. App. 390.) The objection of uncertainty does not go to failure to allege sufficient facts but to doubt as to what the pleader means by the facts alleged. (*Brea v. McGlashan* (1934) 3 Cal. App. 2d 454.) A special demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but is directed at the uncertainty existing in the allegations actually made. (*Butler v. Sequeira* (1950) 100 Cal. App. 2d 143.) A Complaint is ambiguous and uncertain where it cannot be ascertained therefrom whether acts complained of were committed by defendants in their individual capacity, or in one of other capacities in which they are alleged to have acted. (*Lapique v. Ruef* (1916) 30 Cal. App. 391.)

Analysis

Use of Deposition Testimony

Cross-Defendants posit they are entitled to use deposition testimony in support of their Demurrer and cite *Joslin* in support of their position. In *Joslin* the Fourth District Court of Appeals reversed the trial court’s decision to sustain the general demurrer. (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 377.) In order to determine whether a court which has taken judicial notice of a document may take the further step of accepting its truth or adopting a proposed interpretation of its meaning, the Court adopted the approach that "judicial notice of matters upon demurrer will be dispositive only in those instances where there is not or cannot be a factual dispute concerning that which is sought to be judicially noticed." (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 375, citing *Cruz v. County of Los Angeles* (1985) 173 Cal.App.3d 1131, 1134.)

Applying the approach to the facts before us, Court could accept the truth of the facts stated in the deposition only to the extent they were not or could not be disputed. Cross-Complainant disputes the Cross-Defendants assertions that Cross-Complainant lacked knowledge, did not negotiate, did not provide consideration, admitted away his claims, or that other family members controlled OM’s records. Applying the *Joslin* approach, since Cross-Complainant

disputes the factual assertions made in the in the deposition testimony proffered by the Cross-Defendants, the Court will not consider the proffered deposition testimony.

First Cause of Action for Breach of Oral Agreement

Failure to Establish Valid Operating Agreement

Cross-Defendants argue that the Cross-Complainant Sushovan cannot establish the elements of contract formation of the OM Operating Agreement between himself and Cross-Defendants. (Motion at p. 6: 18-28.)

First, this argument does not apply because Cross-Complainant correctly points out that the first cause of action is expressly pleaded as a claim for breach of oral agreement to repay initial capital costs against Sabrina Han. (Opposition at p. 5: 15-17.)

Second, this argument fails. Cross-Defendants are arguing that Cross-Complainant cannot establish existence of a valid and enforceable contract because Cross-Complainant himself did not negotiate any Operating Agreement, did not make or receive any offer concerning OM's governance and did not provide any consideration in connection with the alleged agreement. (Motion at p. 6: 11-17.)

Just because Cross-Complainant did not negotiate the Operating Agreement himself does not preclude him from being bound to it or proving its existence. On the contrary, Cross-Complainant is a named party to the received and accepted the offer of the Operating Agreement by signing it. (FACC, Ex. A, section III(B).) Neither of the Parties have challenged the validity of signatures to the Operating Agreement. (FACC, Ex. A, pp. 9-10.) The consideration for the Operating Agreement constitutes of the initial contributions to be made by both Cross-Complainant Sushovan Shahi and Cross-Defendant Sabrina Han and the duties assigned to both members. (FACC, Ex. A, section III(B) and (F).)

Private Oral Agreement Does Not Invoke the Sham Pleading Doctrine

Under the sham pleading doctrine, Plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. (*Hendy v. Losse* (1991) 54 Cal.3d 723, 742–743 [affirming an order sustaining Defendants' demurrer without leave to amend when the Plaintiff filed an amended complaint omitting harmful allegations from the original

unverified complaint]; see also *Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151 [“If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the Court may take judicial notice of prior pleadings and may disregard any inconsistent allegations.”].)

The sham pleading doctrine cannot be mechanically applied. (*Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 688.) The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts. (*Id.*) Rather, the doctrine must be taken together with its purpose, which is to prevent an amended pleading which is only a sham, when it is apparent that no cause of action can truthfully be stated. (*Id.*)

Cross-Defendants contend that the FACC introduces for the first time a private oral agreement. Cross- Defendants take issue with the new facts pleaded without explanation but do not contend that the new facts are inconsistent with previous pleadings or omitting harmful allegations. (Motion at p. 7: 5-25.)

The Court is not convinced that an example of the sham pleading doctrine has been shown here. In each complaint, Plaintiff alleges that Cross-Defendant Sabrina Han Failed to pay her fair share of the capital contribution for Jug Shop Liquors. (Compare XC ¶14 and FACC ¶ 9.)

Cross-Defendants’ Demurrer as to Plaintiff’s first cause of action for breach of oral agreement is overruled.

Second Cause of Action for Breach of Written Agreement - MITA

Breach of An Express Provision

The LLC MITA provides, “Buyer shall purchase from Seller, and Seller shall sell to Buyer, 100% of Seller's total Interest in the Company (the "Transferred Membership Interest") for the aggregate purchase price of Purchase Price, which is to be determined once Balance Sheet and Profit and Loss Statement are completed by accountant. ("Total Purchase Price").” (FACC, Ex. B, § 1(a).)

The MITA expressly contemplated a sale of Han’s membership interest and a purchase price to be determined through accounting information. (FACC ¶ 53.) The FACC alleges Han failed to proceed with that process and instead

demanded \$180,000 without accounting support. (FACC ¶ 29.) These allegations amount to a breach of an express provision of the LLC MITA.

Causation, Damages, and Basis for Attorney's Fees

The FACC alleges that Sabrina essentially made it clear that unless she were paid the sum of \$180,000.00, she openly stated that she was going to allow OM/Jug Shop Liquors to fall into complete disarray. (FACC ¶ 32.) Coupled with the allegations that Cross-Defendant Sabrina's unreasonable demand for \$180,000.00 for her portion of OM, not paying Cross-Complainant back any expenses promised, and ignoring the criminal hardships endured by the store, Cross-Complainant has alleged sufficient facts for causation, and damages. (FACC ¶¶ 31-41, 53-59.)

Please refer to the Motion to Strike Regarding attorney's fees.

Lack of Standing to Enforce Operating Agreement Is Irrelevant for this Cause of Action

Cross-Defendants argument regarding the enforceability of the Operating Agreement as to the second cause of action for breach of written agreement is misplaced because the second cause of action expressly refers to the LLC MITA written agreement. (FACC ¶¶ 53-59.)

Cross-Defendants' Demurrer as to Plaintiff's second cause of action for breach of written agreement is overruled.

Third Cause of Action for Fraudulent Inducement

Promissory fraud is actionable where a defendant makes a promise without intent to perform and intends to induce reliance. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) The elements are (i) misrepresentation, (ii) knowledge of falsity, (iii) intent to induce reliance, (iv) justifiable reliance, and (v) resulting damages. (*Id.*)

Cross-Complainant Bases Allegations of Fraudulent Inducement on the Breach of Oral Contract and Operating Agreement

Cross-Defendants argue that the third cause of action fails because it is premised on alleged rights "spawned from the OM Operating Agreement." (FACC ¶ 61.) A few allegations later the FACC points to Cross-Defendant Sabrina's shortfall of \$16,565.08 and failure to repay her share of \$50,504.62

which go to the first cause of action for breach of oral agreement. (FACC ¶¶ 63-64.) The lack of contributions by Cross-Defendant Sabrina Han that Cross-Complainant alleges is also covered by the Initial Contribution provision in the Operating Agreement. (FACC, Ex. A, section III(B).) Cross-Complainant bases the fraudulent inducement cause of action on both the Operating Agreement and the Breach of Oral Agreement and Cross-Complainant has standing to allege on the basis of both agreements.

Particularity and Justifiable Reliance

Cross-Defendants argue that The FACC does not plead who made any specific representation, when the alleged statements were made, where they were made, how they were communicated, or what exact words were allegedly spoken. Instead, the pleading relies on generalized assertions that Ms. Han made “promises” and “continued fraudulent promises” (¶¶ 62–65), without identifying a single actionable misrepresentation with the required particularity. (Motion at p. 12: 2-8.)

The FACC alleges that Cross-Defendant Sabrina Han promised she would pay her share of the costs of \$16,565.08 and \$50,504.62 incurred by Cross-Complainant but has not done so. (FACC ¶¶ 63-64.)

Cross-Defendants concede that Cross-Complainant alleges that he relied on Cross-Defendant Sabrina Han’s alleged promises in deciding to enter into the Operating Agreement and to furnish funds. (FACC ¶¶ 63, 67.) Cross-Defendants argue that Cross-Complainant’s sworn testimony establishes that he had no communications with.

First, as explained above, the Court is not considering Cross-Defendants’ proffered deposition testimony for purposes of this demurrer. Second, just because Cross-Complainant and Cross-Defendant Sabrina Han did not negotiate the terms of the Operating Agreement does not mean that the Parties can later rely on an Operating Agreement that both Parties sign and are bound by.

Allegations of Intent, Causation, and Punitive Damages

In considering a demurrer, a court must read the complaint as a whole and accept as true all properly pleaded allegations. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 225.)

Cross Defendants argue that the third cause of action for promissory fraud relies on conclusory allegations for the intent and causation elements as well as

the request for punitive damages. (Motion at p. 12: 18-23.)

The FACC alleges on information and belief that Cross-Defendant Sabrina Han intentionally and deliberately never had any intention of repaying the money owed to Cross Complainant nor did she intend to live up to her promise of responsibly managing the Jug Shop, and Cross-Complainant believes Cross-Defendant Sabrina Han was part of a ruse to allow her to have ownership in a liquor store with her co-defendant Oli (FACC ¶¶ 65.)

The FACC alleges multiple facts about Cross-Defendant Sabrina Han showing little to no interest to supporting the Jug Shop business and even hostility towards the business. (FACC ¶¶ 16, 21, 25, 29, 32, 33, 36, 38-41.) In light of the facts mentioned above, the FACC sufficiently alleges facts that support allegation that Cross-Defendant Sabrina Han never intended to perform those promises and used them to induce Cross-Complainant to enter the business relationship, fund the purchase, cover Cross-Defendant Sabrina Han's shortfall, and continue making expenditures to protect the business, caused damage, and acted maliciously, willfully, and/or oppressively. (FACC ¶¶ 65-68.)

Cross-Defendants' Demurrer as to Plaintiff's third cause of action for fraudulent inducement is overruled.

Fourth Cause of Action for Intentional Interference with Contractual Relations

To state a claim for intentional interference with contractual relations, a plaintiff must plead: (1) a valid contract between the plaintiff and a third party; (2) the defendant's actual knowledge of the contract; (3) intentional acts designed to induce a breach or disruption of the contract; (4) actual breach or disruption; and (5) resulting damages. (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.)

Valid Third-Party Contract

As explained earlier, the Operating Agreement is a valid third-party contract because the Operating Agreement is a valid contract between Cross-Complainant and Cross-Defendant Sabrina Han.

Derivative of Operating Agreement

As explained earlier, the Operating Agreement is a valid third-party contract because the Operating Agreement is a valid contract between Cross-

Complainant and Cross-Defendant Sabrina Han. Thus Cross-Complainant has standing to assert claims based on the Operating Agreement that he is a party to. (FACC, Ex. A, section III(B).)

Pleading of Knowledge, Intentional Acts, Causation, and Damages

Cross Defendants argue that the allegation that Mr. Oli “knew of the existence of the Operating Agreement” (FACC ¶ 71) is conclusory and does not allege knowledge of any specific contractual terms. (Motion at p. 14: 20-22.) This allegation can be reasonably inferred by the actions of the Parties since it is undisputed that Cross-Defendant Thalbir Oli managed the Jug Shop five days a week, had substantial experience in the liquor store business, and was offered membership in OM NAMAHA, LLC, the entity that wholly owns and controls the Jug Shop. (FACC ¶¶ 16-24.)

Cross-Defendants further argue that pleading alleges that Cross-Defendant Thalbir Oli merely “facilitated” acts by Cross-Defendant Sabrina Han, without identifying any specific act he took, when it occurred, or how it was designed to induce a breach. (Motion at p. 14: 22-24.) Cross-Defendants provide a case citation for the proposition that conclusory allegations of facilitation or generalized “patterns of misconduct” are insufficient to plead intentional interference. (Motion at p. 14: 24-26; citing *A.F. Arnold & Co. v. Pacific Professional Ins., Inc.* (1972) 27 Cal.App.3d 710, 715.)

First, the *A.F. Arnold* case did not stand for the proposition cited. It did not mention conclusory allegations of facilitation or generalized “patterns of misconduct” but instead discussed the differences between the two torts of interference with prospective economic relationship and intentional interference with contractual relations. (*A.F. Arnold & Co. v. Pacific Professional Ins., Inc.* (1972) 27 Cal.App.3d 710, 715.) Second, the FACC alleges more than passive association: it alleges Oli conspired with Han, acted as a de facto liquor-store operator through Han, facilitated Han’s breaches, and intentionally disrupted the business relationship. (FACC ¶¶ 24-25, 38-41.)

Cross-Defendants’ Demurrer as to Plaintiff’s fourth cause of action for intentional interference with contractual relations is overruled.

Conclusion

For the reasons analyzed above, **Cross-Defendants’ Demurrer to the FACC is overruled in its entirety.**